Chan Charts
Daily crypto chart quiz

FREE GUIDE #06

RSI Divergence

Spot when momentum disagrees with price



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THE BASICS

What RSI measures

RSI (Relative Strength Index) moves between 0 and 100 and shows how strong recent moves are. Default setting: 14.

- Above 70 = overbought (strong, but stretched).
- Below 30 = oversold (weak, but stretched).
- **Overbought is not a sell signal by itself.** Strong trends can stay above 70 for a long time.

> **DIVERGENCE**
>
> The useful signal is when price and RSI disagree. That is called divergence.

BULLISH

Bullish divergence

Price makes a **lower low**, but RSI makes a **higher low**. Selling is losing strength.



Best at support. Wait for a bullish candle or a break of the last small high before buying.

BEARISH

Bearish divergence

Price makes a **higher high**, but RSI makes a **lower high**. Buying is losing strength.



Best at resistance. Wait for a bearish candle or a break of the last small low before selling.

CHECKLIST

Divergence checklist

- [ ] Two clear swing points on price (not tiny wiggles)
- [ ] RSI disagrees at the same two points
- [ ] Happens at a support/resistance level
- [ ] Confirmation candle before entry
- [ ] Stop beyond the second swing
- [ ] Do not trade it against a very strong trend

REMEMBER

Divergence is a warning, not a trigger. It can repeat 2 or 3 times before price turns.



Now test yourself.

Reading a guide is step one. Spotting the setup on a live chart, fast, is the real skill. That is what the daily quiz trains.

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